

Credo Technology Group Holding Ltd. (CRDO)**Neutral****Initiating At Neutral : Up to 100G Per Lane Copper Experts, It's More Complicated at Faster Speeds****Summary**

We are initiating CRDO with a Neutral rating and \$170 price target despite forecasts for revenues to nearly triple and earnings to more than quadruple in FY26 (April). Near-term strength is driven by Credo's SerDes/DSP/reTIMER technology stack, first-mover advantage in 400G and 800G AECs, and success in the up to 7-meter AI Data Center scale-out and scale-up connectivity markets. Most of the Hyper Scalars are using Credo AECs, which are copper cables, for server NIC to ToR scale-out, and a couple are using them for the new application of multi-rack scale-up. Multi-rack scale-up is happening as the number of GPUs/ASICs within a logical system increases beyond the confines of a single rack and because 7-meter cables can span two to three adjacent racks.

Our concerns are the 2025 TAM for 400G and 800G scale-out AECs was only slightly over \$1bn, Credo has most of the share, and additional competition is imminent. Most of the AECs Credo shipped in 2025 were 400G and Microsoft still uses 200G. While it is positive the 800G AEC roll-out is just starting, it is unclear if 1.6T (200G per lane) AEC technology will economically scale beyond 5-meters and very unlikely AECs will work at 3.2T (400G per lane). At 1.6+T the company's future is more in DSP components and Optical modules. Credo has announced Optical transceiver and MicroLED products. However, we don't see competitive advantage for the company in Optical transceivers, and MicroLED is unproven from technology and market demand perspectives.

Multi-rack scale-up is a nice near-term opportunity, but it's unknown if AECs will scale effectively to 1.6T, and they're unlikely to be useful at 3.2T. The long-term scale-up architecture is CPO, where CRDO does not play, coexisting with PCIe and NvLink, which are full of large players. We believe Credo's extraordinary AEC-driven growth is unlikely to last much beyond FY26. The stock is up ~90% in 12-months as revenues have exploded, GMs improved to the mid-60s, and operating margins now exceed 40%. The stock trades at ~17x EV-to-FY27 consensus sales and ~42.5x FY27 consensus EPS. Our \$170 price target is based on 40x our higher-than-consensus FY27 EPS forecast of \$4.25.

AEC For Scale-Out To Become More Competitive - Credo has first-mover advantage in 400G and 800G AECs (Active Electrical Cables) based on its 56G- and 112G-per lane SerDes (serializer/deserializer) technology. Revenues increased 272% in 1H FY26 and with the majority of sales from AECs for up to 7-meter scale-out (NIC to ToR). We estimate Credo's 400G and 800G AECs had 70+% market share in FY24, FY25, and 1H FY26. However, the market is likely to be more competitive in CY26, with even lower power solutions on the way from Molex, TE Connectivity, Amphenol, 3M, Volex, and Astera Labs.

N-T Multi-Rack Scale-Up Opportunity, But L-T Architecture Will Be CPO + PCIe - Credo has two Hyper Scale customers using its AECs for multi-rack scale-up. This is an attractive N-T opportunity, but there are questions about market's size and sustainability. Looking ahead to CY27+, the scale-up architecture will likely become CPO (Co-Packaged Optics) and PCIe (Peripheral Component Interconnect Express)/NvLink. While Credo is in the PCIe retimer space, this market has always been significantly more competitive than AECs.

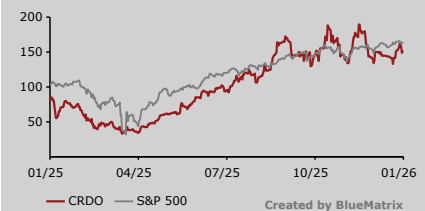
It's More Complicated For CRDO As The World Becomes More Optical - Recently, Credo has announced road maps for Optical transceiver and MicroLED cable products. However, we don't see competitive advantage for Credo in Optical transceivers and MicroLED is unproven to from both technology and market demand perspectives.

PRICE: \$153.22
TARGET: \$170.00

Mike Genovese

Comm and Cloud Infrastructure
 (212) 607-3169
mgenovese@rblt.com

Price	\$153.22
Rating	Neutral
Price Target	\$170.00
52-Week High	\$213.80
52-Week Low	\$29.09
Average Daily Volume (M)	6.1
Shares Outstanding (M)	180.6
Market Cap (\$M)	\$27,270
Net Debt (\$M)	\$(797)
Enterprise Value (\$M)	\$28,494
CY Gross Margin	65.9%
CY Operating Margin	46.7%



YEAR	Revenue						EPS					
	Jul	Oct	Jan	Apr	Ann	EV/Rev	Jul	Oct	Jan	Apr	Ann	P/E
2025A	59.7	72.0	135.0	170.0	436.8	65.2x	0.04	0.07	0.25	0.35	0.70	218.5x
2026E	223.1A	268.0A	348.4	376.3	1.22B	23.4x	0.52A	0.67A	0.82	0.89	2.91	52.7x
2027E	402.7	426.8	452.4	479.6	1.76B	16.2x	0.98	1.03	1.09	1.15	4.25	36.1x

Please see analyst certification and important disclosures on page 16 of this report.

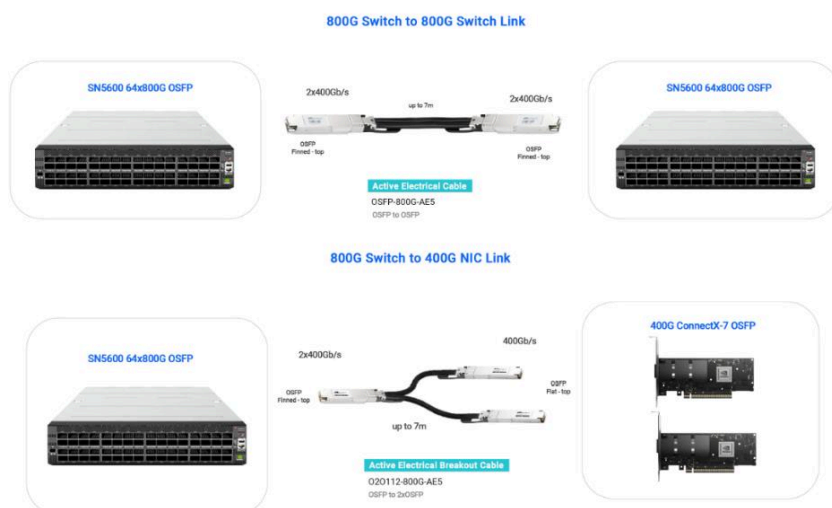
Investment Thesis

Initiating CRDO at Neutral - We are initiating CRDO with a Neutral rating and \$170 price target despite forecasts for revenues to nearly triple and earnings to more than quadruple in FY26 (April). Near-term strength is driven by Credo's SerDes/DSP/reTIMER technology stack, first-mover advantage in lower-power 400G and 800G AECs, and success in the up to 7-meter AI Data Center scale-out and scale-up connectivity markets. Our concern with CRDO is the TAM for 400G and 800G AECs for scale-out is not that large, the company has most of the share, and increased competition is imminent. At 200G per lane for 1.6T and 400G per lane for 3.2T, the world becomes much more Optical. Credo makes DSPs and has announced roadmaps for Optical transceiver and MicroLED cable products. However, we don't see competitive advantage for Credo in Optical compared to technology leaders Lumentum (LITE, Buy), Coherent (COHR, Buy) and Ciena (CIEN, Buy), and MicroLED is unproven with complex fabrication that, so far, has resulted in low yields.

We Think Credo Is Seeing its Largest Beats Last Quarter and Next, with Less Upside Likely Starting FY27 – 2Q26 (Oct '25) revenues increased 20% Q/Q and 272% Y/Y to \$268mn, beating consensus by \$32mn or 13%. GMs of 67.7% were up 400bps Y/Y, and were more than 200bps above consensus, and operating margins improved 320bps Q/Q to 46.3%. 2Q26 EPS at \$0.67 was 37% ahead of consensus. Credo significantly increased 3Q26 (Jan.) guidance, with the mid-point of the \$335mn to \$345mn revenue outlook coming in 37% or \$90+mn above the prior consensus of \$248mn. It was an extraordinary quarter, but we suspect it may be one of the largest beats the company will see during this period of AEC-driven hyper-growth. CRDO is up ~90% in the past 12-months as revenues have been on a tear, GMs have improved to the mid-60s, and operating margins comfortably exceed 40%. The stock trades at ~17x EV-to-FY27 consensus sales and ~42.5x FY27 consensus EPS. Our \$170 price target is based on 45x our higher-than-consensus FY27 EPS of \$4.25.

200G, 400G & 800G AECs for AI Scale-Out Drove CRDO From \$200mn in FY24 Sales to ~\$1.2bn in FY26E – Credo's revenues increased to \$437mn in FY25 from \$193mn in FY24. The 126% growth was driven by 25G per lane 200G, 50G per lane 400G, and 100G per lane 800G AEC sales to three Hyper Scalars that we believe to be Amazon, Microsoft and xAI. The primary use case for these up-to 7meter cables is scale-out from server GPU/ASIC/NIC to Top-of-Rack (TOR) Switch in the back-end, and from Switch to TOR in the front-end.

Exhibit 1: AECs Are Primarily Used for Short Distance NIC-to-Switch and Switch-to-Switch Connections



Source: NADDOD and Rosenblatt Securities

Credo Has Been Growing by Adding New Deployments, But Individual Customer Trends Are Lumpy – Credo had four 10+% customers in 2Q26 that contributed 93% of total quarterly revenues. A fourth Hyper Scaler became a 10+% customer for the first time in the quarter, representing 11% of sales. We believe Microsoft was the largest customer in 2Q26, at 42% of revenues, up from 20% and 11%, respectively, in the prior two quarters. We think Amazon was the second largest customer in the period, at 24% of sales, but this was down from 33% and 61%, respectively in 1Q26 and 4Q25. It looks like xAI made up 16% of sales in 2Q26, down from 35% in 1Q26 and up from 12% in 4Q25. Credo expects to add a fifth sizable Hyper Scale customer by the end of FY26. Credo has been growing so quickly by consistently adding large new AEC deployments, but each deployment has proven to be lumpy on a quarter-to-quarter basis. This could put the company at a risk of a slow-down in FY27 from a combination of fuller market penetration and new AEC competitors.

Credo Is the AEC Market Pioneer - Credo leveraged its key technical capabilities in SerDes, DSPs and retimers to create the AEC (Active Electrical Cable) product category as an improvement over DACs (Direct Attach Copper). AECs offer longer reach and better signal integrity than DACs by incorporating chips to amplify signals, making them ideal for distances up to 7 or 10 meters in high-speed Data Centers. Passive DACs are cheaper, simpler, and use less power, but are limited to very short runs (1-3m) due to signal loss. The choice of Data Center connectivity cabling hinges on balancing cost, distance, speed (400G/800G), power, and cable management needs. AECs provide a flexible, cost-effective mid-range solution compared to less expensive, less power-hungry DACs, and more capable but more expensive and power-hungry active optical cables (AOCs).

AEC Market to Become Significantly More Competitive in CY26 – Now that Credo has proven AECs as a strong growth market, with various industry analysts calling for market CAGRs ranging from 15% to 45% for the next several years, we expect to significant competitive market entries in 2026. The AEC market is transitioning from a specialized niche dominated by pioneers to a higher-volume battleground for global electronics and semiconductor giants. The shift toward 400G and 800G networking is the primary driver. At these speeds, traditional passive copper cables fail over short distances, and expensive optical fiber is often overkill. This creates a "sweet spot" that is attracting three distinct types of competitors to the AEC space:

- **Sizable semiconductor companies with internal SerDes and retimer technology.** This group includes Marvel (MRVL) and Astera Labs (ALAB). Marvel has launched its "Golden Cable" initiative to help third-party manufacturers quickly build AECs using Marvell chips, essentially commoditizing the hardware to increase competition.
- **Cable Manufacturers.** Established giants who previously focused on passive cables are now rapidly integrating active electronics to avoid being sidelined. The "Big Three" connector companies, TE Connectivity (TEL), Molex, and Amphenol (APH) are scaling up their AEC production lines in 2026 to compete directly on price and manufacturing scale.
- **Chinese Cable Makers.** Companies like Luxshare Precision and Wenzhou Yihua are also aggressively entering the market. Over the next couple of years, Chinese vendors are expected to control over 50% of the high-speed module market, driving down prices through high-volume production.
- **Emerging Technology.** AECs could also see increased competition in 2026 from alternative technologies such as LDO (Linear Drive Optics) and silicon photonics. LDO is a new class of Optical modules that removes the power-hungry DSP (Digital Signal Processor). If LDO becomes more cost-effective in 2026, it could take market share from AECs in the 5–7 meter reach category. More large semiconductor and networking companies are pushing silicon photonics into shorter reaches, as they move toward full CPO (Co-Packaged Optics), which could eventually challenge the cost advantage of copper-based AECs, particularly for scale-up applications.

Exhibit 2: 2026 Interconnect Comparison Chart (800G Focus)

Feature	DAC (Passive Copper)	AEC (Active Electrical)	AOC (Active Optical)
Max Reach (800G)	< 2 Meters	5 – 7 Meters	30 – 100+ Meters
Power Consumption	Nearly Zero (<0.1W)	Moderate (6W – 12W)	High (12W – 15W+)
Relative Cost	\$ (Lowest)	\$\$ (Middle)	\$\$\$ (Highest)
Latency	Lowest (pico-seconds)	Low (micro-seconds)	Low (micro-seconds)
Flexibility/Weight	Heavy & Rigid	Thinner & Flexible	Lightest & Thinnest
Signal Processing	None	Retimer / CDR	E-O-E Conversion
EMI Resistance	Low (Susceptible)	Medium (Shielded)	Immune

Source: Rosenblatt Securities

AECs Look Good for 800G Up to 7 Meter Scale-Out, But It's Less Clear at 1.6T & Very Difficult at 3.2T – The large majority of the AECs Credo has shipped to date have been 50G per lane/400G or below products. The company's 100G per lane/800G opportunity is just taking off as the market becomes more competitive with new entrants. Credo management says it will intersect the 200G per lane/1.6T AEC market when customers demand but acknowledges that copper-based SerDes it is more than twice as difficult to scale to 200G per lane compared to 100G per lane, and 1.6T AECs will likely max out at 5 meters. In a recent article, industry researchers SemiAnalysis noted it is "increasingly difficult to scale bandwidth over copper", and "doubling bandwidth on copper by developing ever-faster SerDes is a highly challenging vector of scaling that is a slow grind." In our opinion, the jury is still out on the viability of the 1.6T AEC market, and it's very clear Optical will dominate at 400G-per-lane for 3.2T and above, even at very short single digit meter transmission distances.

Multi-Rack Scale-Up to Drive Good Portion of AEC Growth for the Next Couple of Years – According to our work, all five of Credo's Hyper Scale customers are using its AECs for scale-out, and two recently began using them for multi-rack scale-up. A single logical 72GPU NVIDIA system can fit in a single high-density rack in a state-of-the-art liquid cooled Data Center. However, in a more typical air-cooled environment, it could take multiple racks to house a complete NVL72 system. Another example is Google TPU-based systems that can scale into much larger TPU counts and often require multiple racks to house a single logical system. On one hand, we expect the multi-rack scale-up application to drive AEC market growth in the near-term. On the other hand, CPO is being developed to make scale-up radically more cost effective, and Credo does not have a CPO play. Credo can continue to sell PCIe retimers into scale-up to complement CPO. However, the company has been in the PCIe market for some time and has never had break-out success similar to AECs, mostly because it is a more competitive market full of larger players.

CPO is the Future of Scale-Up – While CPO for scale-out is a bigger market than CPO for scale-up in 2026 and 2027, scale-up is expected to dominate beyond 2027. Yole Research forecasts CPO for scale-up will be a \$5.6bn market in 2030 and CPO for scale-out will be worth \$2.6bn. Co-Packaged Optics (CPO) technology will enable AI clusters to scale from thousands of GPUs to million-GPU clusters by moving data with light instead of electricity at the chip level. At speeds of 1.6 Tbps and 3.2 Tbps, electrical signals degrade so fast they can barely travel one meter over copper without massive signal loss. By integrating the Optical engine directly onto the same package as the GPU or Switch ASIC, the electrical "run" is shortened to millimeters. CPO also eliminates the need for power-hungry DSPs and retimers. For large clusters, this could translate to a 30% to 50% reduction in total networking power, allowing Data Centers to redirect the savings toward higher GPU counts.

With Only So Much AEC Life Left, Credo Calls Optical, MicroLED & Gearboxes as Future Growth Drivers -

When Credo reported blow-out 2Q26 earnings driven by AEC sales, it also laid a vision of its FY27, FY28, and beyond drivers with a focus on Optical transceivers, MicroLED cables, and memory-to-compute Gearboxes. In our opinion, this messaging from the company supports the view that there is only a few more good years of life in the AEC market before Data Center connectivity speeds of 1.6T, 3.2T, and above demand a lot more Optical solutions and significantly fewer copper connections.

We Struggle to See Credo's Competitive Advantage in Optical Transceivers - Credo's first new growth pillar is 'ZeroFlap Optics', a laser-based Optical transceiver connectivity family the company claims will deliver AEC class network reliability. However, this sounds like marketing spin to us. In our opinion, Credo does not bring advantages in lasers, DSPs, or other components to meaningfully differentiate its Optical transceivers in the market. The company claims its customized optical DSP is tightly coupled with its PILOT software and integrated with a switch-level SDK, thereby providing link health telemetry data on each optical link that mitigates link flaps before they can bring down a cluster. In theory this sounds good, but, in our view, it is not very different than software other transceivers vendors and Hyper Scalars already use to isolate ports when link flaps happen. Credo says it is in live Data Center trials with its lead partner and expects to begin sampling its Optical transceivers with a second US Hyper Scaler later this fiscal year. On one hand, Credo's ZF Optics solution expands its addressable market to any length of connection within the Data Center. On the other hand, we do not find the company to be differentiated or likely to gain meaningful market share in Optical transceivers. Credo anticipates initial revenue from this product family in fiscal 2027.

The Company Is Aggressive with its MicroLED Commentary - In September 2025, Credo acquired Hyperlume, a Canadian startup specializing in MicroLED-based optical interconnects, for \$92mn in cash and stock. Because 1.6T AECs only work up to 5 meters, Credo sees its entry into MicroLED as one way to play in the 1.6+T market at up to 30-meter distances. As a first product, Credo plans a pluggable optical solution that utilizes microLEDs as the light source. Beyond this, the company is looking to pioneer a new connectivity category called Active LED cables or ALCs. Management believes ALCs will deliver the same reliability and power profile as an AEC, but in a thin gauge cable that can reach up to 30 meters and is ideal for row-scale scale-up networks. The company says customer reaction has been very positive, and it plans to sample the first ALC products to lead customers during FY27 with initial revenue ramping in fiscal 2028. Credo claims the ALC TAM will ultimately be more than double the size of the AEC TAM.

MicroLED Challenges - While promising, the technology has not reached widespread adoption because placing millions of microscopic LEDs onto a silicon chip with 100% accuracy is a manufacturing hurdle. It is also very difficult to couple the light from MicroLED to an optical fiber. Efficiently funneling light from a 5-micrometer LED on fiber without losing signal strength is a key challenge. Finally, as MicroLEDs get smaller, their "internal quantum efficiency" can drop. For these reasons, we think MicroLED is still fairly far away from being widely commercialized. When we research new optical transmission ideas the major Hyper Scalars are looking at, MicroLED is on the list but appears to be fairly far down (not in the top 5) the options of potentially near-term viable technologies for mass market adoption.

Gearboxes Are a New FY28 Opportunity – Finally, Credo announced the third new pillar of its long-term strategy, OmniConnect gearboxes. In November, the company unveiled the first gearbox, called Weaver, that improves memory-to-compute connectivity. Weaver allows designers to move to commodity DDR memory and achieve up to 30 times more memory capacity and 8 times the bandwidth. The key enabler is Credo's purpose-built 112-gig VSR SerDes that enables a 10x improvement in beachfront I/O density and has a reach of up to 10 inches. Industry forecasters project the memory-to-compute connectivity to be a multibillion-dollar market by the end of the decade. Credo expects initial revenue in fiscal 2028 with significant scaling thereafter

Supplemental Technology Discussion

What Is SerDes (Serializer/Deserializer)? Inside a computer chip, data moves in parallel—thousands of bits traveling side-by-side at a relatively slow pace. However, you can't build a cable with thousands of tiny wires to connect two chips together; it would be too bulky, expensive, and prone to interference. SerDes is a pair of functional blocks used in high-speed digital communications to convert data between parallel and serial interfaces. Think of it as a translator for data traffic: it takes a wide, slow "highway" of data (parallel) and collapses it into a single, ultra-fast "express lane" (serial) for travel, then expands it back to the wide highway at the destination using the following steps:

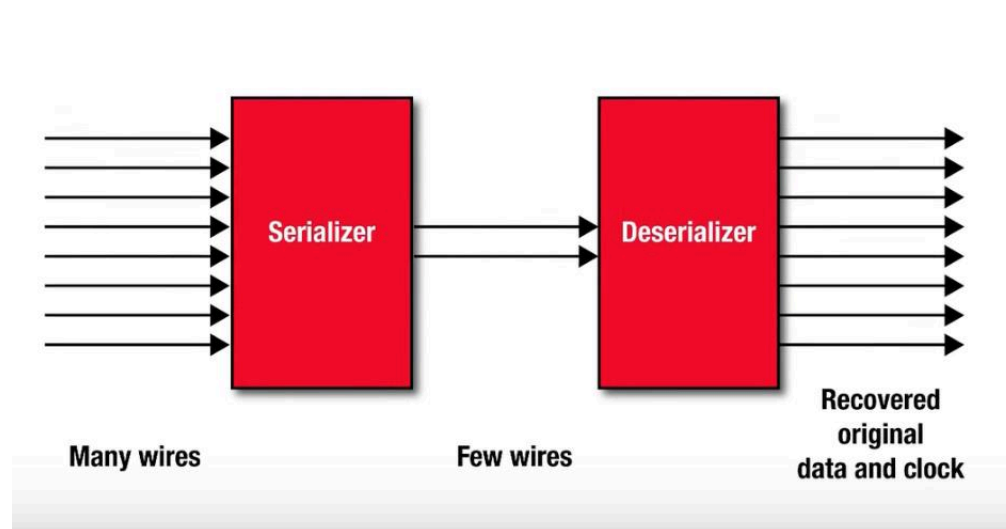
- **Serialization:** It takes that wide, slow parallel data and "serializes" it into a single, ultra-fast stream.
- **Transmission:** The data travels across a single pair of copper wires or Optical fiber.
- **Deserialization:** At the other end, it converts that fast stream back into a wide parallel format the receiving chip can understand.

In the early days of computing, parallel buses (like old printer cables or PCI slots) were the standard. However, as speeds increased, parallel communication hit a wall due to:

- **Pin Count:** A 128-bit parallel bus needs 128 pins on a chip, which is physically bulky and expensive.
- **Clock Skew:** At high speeds, it's nearly impossible to ensure that 128 different signals arrive at the exact same picosecond.
- **Crosstalk:** Many wires packed together create electromagnetic interference.

Without SerDes, modern high-speed computing would be impossible because chips would need thousands of pins and massive cables to talk to each other. SerDes solves this by using only one or two "differential pairs" (two wires) to send massive amounts of data, reaching speeds of 112 Gbps or 224 Gbps per lane in modern Data Centers. It allows data through fewer wires with higher reliability. Today, SerDes is a key technology building block of networking solutions including AECs, PCIe, Ethernet, USB, and HDMI.

Exhibit 3: Simple SerDes Illustration



Source: Rosenblatt Securities and Texas Instruments

AECs Have Advantages Over AOCs For Up To 7 Meter 400G and 800G Connections – Credo has increased revenues by ~225% on a trailing 12-month basis because AECs have advantages over AOCs (active Optical cables) at speeds up to 800G for scale-out and scale-out connection lengths of 7 meters and below. Active Electrical Cables and Active Optical Cables both serve to connect high-speed networking equipment, but they use different physical mediums. While AOCs use fiber optics to send data as light, AECs use copper wire and "boost" the electrical signal with built-in chips like retimers. At speeds of 800G and below and distances up to 7 meters, AECs have three main advantages over AOCs:

- **Power consumption:** AOCs require lasers to convert electricity into light (E-O conversion) and back again (O-E conversion). This process is power-intensive. AECs keep the signal purely electrical. They only use a relatively small amount of power to "clean" the signal using a retimer. AECs typically consume 25% to 50% less power per port than AOCs.
- **Cost:** Optical components (lasers, photodetectors, and precise lens alignments) are expensive to manufacture, and AOCs carry a premium as a result. AECs use standard high-speed copper and silicon chips like SerDes. As a result, for equivalent speeds (e.g., 400G or 800G), AECs generally cost about 50% less than AOCs.
- **Reliability:** Fiber optics are inherently delicate. They can be damaged by tight bends, dust on the connectors, or "laser aging" over time. AOCs have a higher failure rate due to the complexity of the optical components. AECs use copper, which is physically rugged and has a longer "Mean Time Between Failures" (MTBF). AECs are more durable and easier to handle during installation into racks.

In Our Opinion, Credo Tends to Overplay the Risk of Optical Link Flaps – Link flaps can be catastrophic when they occur. An Optical link flap is a condition where a high-speed fiber optic connection rapidly alternates between "Up" (Active) and "Down" (Inactive) states. In a stable network, a link should stay "Up" indefinitely. When it flaps, it causes a "storm" of updates in the network software (like Spanning Tree Protocol or OSPF) as the system tries to reroute traffic away from the "dead" link, only for it to come back online seconds later. This can lead to massive data loss, high latency, and even total network collapse. Optical link flaps can be caused by dirty connectors, marginal signal power, bad or overheated transceivers, forward error correction software mismatches, and bent fibers. In practice, Data Center Optical engineers minimize link flaps via Link Flap Damping. This is a safety setting that says: "If this port flaps more than 5 times in 10 seconds, disable the port entirely and keep it down until a human fixes it."

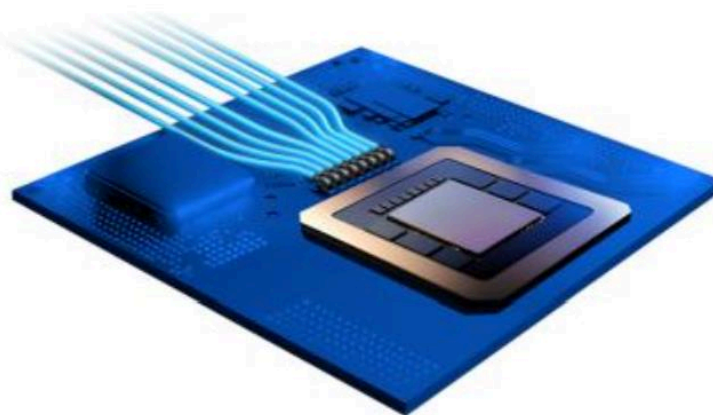
We Think AECs Do Well in Certain Applications Because of Their Advantages, Not Because of Link Flaps – AECs' advantages include being lower power, lower cost, and more highly reliable than AOCs. That said, we believe Credo tends to overplay the problem of Optical link flaps. The company's AEC product line is called 'ZeroFlap AECs,' and its new Optical transceiver line is named 'ZeroFlap Optical Transceivers.' We consider these names to be 100% marketing since all AECs, not just Credo's, are immune from the Optical flap issue. We view the company's 'ZeroFlap Optical Transceivers' naming as marketing since there is nothing inherent in Credo's Optical technology to reduce flap. The company will provide an SDK and other software with its transceivers to help Data Center engineers to minimize the impact of Optical flap via telemetry harvesting and coordination. However, this is extremely similar to what the same engineers can do with alternative software when performing Link Flap Dampening over another company's Optical transceivers.

AECs Advantages Are Attractive for Now but Recede at Faster Speeds and Longer Distances - In our view, there are two main problems with AECs. First, they max out at 7 meters, or potentially 10 meters at most. This is actually the least of the two problems since Data centers are physically designed to keep processing as compact as possible to minimize latency. Therefore, the majority of AI Data Center server-to-switch and intra-cluster connections are 10 meters or less. The bigger issue is AECs have proven to scale to 800G, but are not yet proven to reach 1.6T and are extremely unlikely to work at 3.2T. Simply put, as the world gets faster it becomes more Optical, including via CPO. The AEC market is entering the sweet spot of 800G demand now, but with speed cycles moving ahead every three years, it raises the question of how many years AECs have left before 1.6T and 3.2T Optical transceivers fully take over. Our view is it is likely to be 3 to 5 years, and in the meantime, Credo will be operating in an AEC market with significantly more competitors than before.

MicroLED Overview - In the context of optical transmission, MicroLEDs (micro-light-emitting diodes) are being looked at as miniature, high-speed light sources for data communication. While originally developed for high-end displays (like those in AR glasses or TVs), their properties make them a potentially disruptive alternative to traditional lasers and copper wiring for moving data. The core concept is a shift from "Narrow but Fast" (a few extremely high-speed laser channels) to "Wide and Slow" (thousands of parallel MicroLED channels). In standard Optical communication, a single laser is used to send data at massive speeds (e.g., 100 Gbps). This requires complex, power-hungry cooling and expensive "SerDes" (Serializer/Deserializer) chips to pack the data. MicroLED optical transmission takes the opposite approach. Instead of one laser, an array of thousands of MicroLEDs is used. While each MicroLED might only transmit at 1–5 Gbps, by running 1,000 MicroLEDs in parallel Terabit-per-second speeds can be achieved.

MicroLED Challenges - While promising, the technology has not reached widespread adoption because placing millions of microscopic LEDs onto a silicon chip with 100% accuracy is a manufacturing hurdle. It is also very difficult to couple the light from MicroLED to an optical fiber. Efficiently funneling light from a 5-micrometer LED on fiber without losing signal strength is a key challenge. Finally, as MicroLEDs get smaller, their "internal quantum efficiency" can drop. For these reasons, we think MicroLED is still fairly far away from being widely commercialized. When we research new optical transmission ideas the major Hyper Scalars are looking at, MicroLED is on the list but appears to be fairly far down (not in the top 5) the options of potentially near-term viable technologies for mass market adoption.

Exhibit 4: MicroLED Interconnect From Hyperlume / Credo



Source: Credo and Rosenblatt Securities

More On the OmniConnect Weaver Gearbox - Weaver is a specialized hardware component—specifically a memory fanout gearbox chiplet, designed by Credo, to solve "memory wall" bottlenecks in AI inference workloads. It is the first product in Credo's OmniConnect family and is engineered to allow AI accelerators (XPU's) to access much larger amounts of memory at higher speeds than traditional architectures allow.

Core Functions:

- **Memory Fanout:** It acts as a high-speed "lane multiplier" or bridge. It takes a limited number of high-speed SerDes connections from a processor and "fans them out" to multiple memory channels.
- **Capacity Expansion:** It enables massive memory scaling, supporting up to 6.4TB of addressable memory per system.
- **Bandwidth Boost:** By using advanced 112G VSR (Very Short Reach) SerDes, it can deliver up to 16TB/s of total bandwidth using standard LPDDR5X memory.
- **Off-Substrate Memory:** Unlike traditional designs that require memory to be placed extremely close to the processor (on the same substrate), Weaver allows memory to be placed up to 10 inches (250mm) away. This physical separation helps manage heat and increases the density of memory that can be packed around a single chip

Company Description

Credo delivers high-speed connectivity solutions for AI, Cloud, and Hyper Scale networks. The company's products, based on proprietary SerDes and DSP technologies, include ICs, Active Electrical Cables (AECs), SerDes Chiplets, and IP licensing, supporting 100G to 1.6T Ethernet and PCIe5/6 applications. Credo's customers include Hyper Scalars, AI/ML, 5G, and Enterprise networking players, with over 20 blue-chip clients such as OEMs, ODMs, and Optical module makers. The company develops both standard and custom solutions, helping shape industry standards through collaboration with technology leaders. The company is headquartered in Silicon Valley and has more than 600 employees globally.

Investment Risks

Downside Risks:

- **Customer Concentration:** CRDO derives a substantial portion of its revenue from a small number of customers, making its operating results highly sensitive to changes in their purchasing behavior. In fiscal 2025, one customer accounted for 67% of total revenue, and the top 10 customers collectively represented approximately 90% of revenue. The loss of, or reduction in sales to, any major could materially harm revenue, margins, and operating results.
- **Future Customer Orders Are Not Committed and Can Be Lumpy:** The company generally sells products on a purchase-order basis without long-term or minimum purchase commitments, allowing customers to cancel, delay, or reduce orders on short notice and often without penalty. As a result, revenue may fluctuate significantly from period to period, and sudden order changes can lead to lost sales, inventory imbalances, and limited ability to reduce fixed costs in the short term, all of which could materially and adversely affect the company's financial condition and results of operation.

- **Macro-Economic Conditions:** Credo is exposed to a range of macroeconomic risks, including inflation, stagflation, recessionary or low-growth environments, rising interest rates, market volatility, geopolitical tensions, war, trade restrictions, tariffs and sanctions, any of which could reduce customer demand for its products. Economic stress could also negatively impact suppliers, manufacturers, distributors, and other partners, potentially leading to pricing pressures, payment delays, insolvencies, or disruptions in supply and collections. Recently imposed and increased U.S. tariffs, including broad and country-specific tariffs announced in April 2025, as well as potential retaliatory measures, could further raise costs, reduce demand, and weaken global economic conditions.
- **Competition:** The company operates in a highly competitive global semiconductor and data infrastructure market and expects competitive intensity to increase as larger and new entrants expand their presence and as technology advances. Competition from well-established companies such as Broadcom, Marvell, Astera Labs, and various cable suppliers, many of which have significantly greater financial, technical, marketing, and operational resources, could result in pricing pressure, reduced profitability, and loss of market share. **Product Risk** – The company may incur substantial costs to design, develop, market, and qualify
- **Market Demand Uncertainty:** The company is investing heavily in developing semiconductor solutions for 100G, 200G, 400G, 800G, and 1.6T data transmission rates to expand its product offerings. However, if market demand for these high-speed solutions develops more slowly than expected, or if the company's products are not successfully developed or fail to remain competitive, it may not realize returns on its investments. Delays or lower-than-anticipated adoption of these networks could adversely affect the company's business, financial condition, and results of operations.

Upside Risks:

- **New Customer Acquisition:** The company's strategic focus is on reinforcing its leadership in SerDes technologies, expanding its product and IP portfolio to address evolving data infrastructure needs and adjacent markets, and driving growth by acquiring new customers while deepening relationships with existing ones. The company has consistently added new Hyper Scale customers over the past couple of years, and is now up to five. Credo could outperform our financial and share price expectations if it continues to win large new Hyper Scale, Neo Scale and sovereign customers at a consistent rate.
- **The AEC Market Could Be Stronger for Longer Than We Anticipate:** Credo could continue to dominate the AEC market for longer than we are forecasting. The 800G AEC market could be larger for longer, and AECs could be more successful at 1.6T than we predict. In addition, the large number of competitors now entering the market could be less successful in taking share from Credo, in which case our thesis on the stock could turn out to be too negative.
- **New Products Could Be More Successful Than We Think** – Hyper Scale customers clearly like working with Credo, and one or more could decide to award significant Optical transceiver market share to the company. Similarly, MicroLED could become a larger market more quickly than we expect, and Credo could benefit. If the company is highly successful in Optical transceivers and Optical MicroLED cables, then it's financial and stock price performance would likely surprise us to the upside.

Acquisition History

Credo Technology Group Holding Ltd. (CRDO) was founded in 2008 and has grown organically as a high-performance connectivity innovator, expanding its product lineup from early SerDes technology through Active Electrical Cables and advanced DSPs and chiplets. It completed its initial public offering on the Nasdaq in January 2022, raising significant capital to accelerate development and market expansion. Since inception, the company's notable acquisition to date is its September 2025 purchase of Hyperlume, Inc., a developer of microLED-based optical interconnect technology, for ~\$92mn in cash and stock. The deal is aimed at enhancing Credo's next-generation connectivity solutions for AI, cloud and hyperscale data centers. This acquisition broadened its technology base and aligns with its strategic focus on advanced high-speed connectivity.

Management Overview

Bill Brennan has served as Credo's President, Chief Executive Officer, and a Director since 2014, guiding the company from a startup to a publicly traded leader in high-speed connectivity solutions. With over 25 years of leadership experience in the semiconductor and connectivity industries, he has overseen strategic growth, product innovation, and market expansion, and was recently appointed to the board of Axiado Corporation. Mr. Brennan holds a B.S. in Electrical Engineering and Computer Science and brings deep insight into cloud infrastructure, hyperscale networking, and AI data center technologies.

Daniel Fleming has been Credo's Chief Financial Officer since 2015, bringing more than two decades of financial leadership in the semiconductor and clean technology sectors. Prior to Credo, he held senior finance roles at companies including Siva Power, SunPower, Marvell Semiconductor, and Xilinx, with expertise spanning finance, accounting, and administration. Fleming's leadership supports Credo's financial strategy, reporting, capital structure, and operational planning.

Lawrence Cheng is Co-Founder and Chief Technology Officer of Credo, serving on the Board and driving the company's technical vision and innovation since its early years. With extensive experience in high-speed analog and mixed-signal design, Cheng previously held leadership roles in engineering at Marvell and Actel Corporation. His role focuses on advancing Credo's SerDes and DSP architectures that form the technical foundation of the company's connectivity solutions.

Job Lam, a Co-Founder and Chief Operating Officer, oversees Credo's global operations and execution, ensuring effective product development, manufacturing, and supply chain coordination. He has been part of the company's leadership since its inception and combines technical and operational expertise to scale Credo's complex product portfolio and support rapid growth in data infrastructure markets.

James Laufman joined Credo as Chief Legal Officer and Secretary in 2024, bringing decades of legal and corporate governance experience from prior senior roles including Chief Legal Officer at Automation Anywhere and Infinera Corporation and legal leadership positions at Marvell Semiconductor and Integrated Device Technology. Laufman leads the company's legal, compliance, and risk management functions to support Credo's growth as a public technology company.

Analysis of 2Q26 (Oct.) Results

Credo reported 2Q26 results on November 1, 2025. Revenues of \$268mn grew 20% Q/Q and 272% Y/Y, compared to consensus at \$235, driven by robust demand for Active Electrical Cables (AECs) and IC solutions. Product revenue increased 20% Q/Q and 306% Y/Y and IP License revenue grew 12% Q/Q and 128% Y/Y.

Gross margins came in at 67.7%, expanding 10 bps Q/Q and 400 bps Y/Y, reflecting the combination of operational efficiencies, and favorable product mix. Operating expenses were \$57.3mn, or 21.4% of total revenue, primarily driven by R&D and product development activities supporting new growth pillars, including ZeroFlap Optics, Active LED Cables (ALCs), and OmniConnect gearboxes, as well as ongoing innovation in AECs, ICs, and PCIe retimers. Non-GAAP net income was \$127.8mn, or \$0.67 per diluted share, increasing 30% Q/Q, driven primarily by strong top-line growth and operational leverage.

In 2Q26, Credo had four Hyper Scale customers that contributed over 10% of sales each, and that made up 93% of combined revenues. We believe Microsoft was the largest customer in the quarter at 42% of sales, compared to 20% in the prior quarter. We believe Amazon contributed 24% of revenues, down from 33% in the prior quarter. The other two ten percent customers were xAI and Oracle, we think.

The company guided 3Q26 revenue in the range of \$335mn to \$345mn, representing 27% Q/Q and 152% Y/Y growth at the midpoint. The guidance midpoint was well ahead of prior consensus at \$250mn. Gross margin is expected in the range of 64% and 66%, representing a sequential decrease of 270 bps at the midpoint. The company's forecast for operating expenses in 3Q26 is \$68mn to \$72mn. Full-year Non-GAAP net margin is expected around 45%, with net income more than quadrupling year-over-year. Beyond 3Q26, management says revenues should increase in the mid-single digits sequentially every quarter, suggesting FY26 revenue growth of ~170% and FY27 growth of ~40%. Currently, consensus FY27 revenue growth stands at 38% and our estimate is higher at ~50%.

Balance Sheet

Credo has a strong balance sheet, ending 2Q26 with \$814 million in cash and equivalents, up \$340 million sequentially, largely due to proceeds from an ATM offering. Inventory rose to \$150 million, reflecting a \$34 million increase from the prior quarter. Capital expenditures totaled \$23. million, primarily for production mask sets. Operating cash flow reached \$62 million, up \$8 million sequentially, and free cash flow was \$39 million, slightly lower than in 1Q26 due to higher Capex investments. Overall, the company remains well-capitalized with ample liquidity to support ongoing growth initiatives and strategic investments.

Financial Forecast

We expect Credo to continue to grow revenues nicely, but are forecasting deceleration from the 274% to 272% Y/Y growth achieved, respectively, in 1Q26 and 2Q26. Our 3Q26 revenue estimate of \$348mn is ~\$17mn or 5% ahead of consensus at \$331mn, and is up 158% Y/Y. Our model, which is above consensus for all of FY26 and FY27, has Y/Y revenue growth decelerating to ~120% in 4Q26, to ~80% in 1Q27, and down to ~27% by 4Q27. We foresee fairly stable 65% to 66% GMs and mid-to-high 40s operating margins over this time frame.

Exhibit 5: Rosenblatt CRDO Financial Forecasts Versus Consensus and Valuation Metrics

Highlights	2023		2024		2025		2026E		2027E
Revenue (mn)	\$	184.2	\$	193.0	\$	436.8	\$	1,215.8	\$ 1,761.4
EBITDA (mn)	\$	16.74	\$	16.50	\$	137.29	\$	575.15	\$ 869.73
EPS	\$	0.06	\$	0.08	\$	0.70	\$	2.91	\$ 4.25
Consensus Revenue (mn)								\$1,188.0	\$1,645.6
Consensus EPS								\$2.72	\$3.60
Profitability & Valuation	2023		2024		2025		2026E		2027E
EV/EBITDA		1695.4x		1720.2x		206.7x		49.3x	32.6x
P/E		2698.2x		1958.8x		218.5x		52.7x	36.1x
EV/Sales		154.1x		147.1x		65.0x		23.3x	16.1x

Sources: Company Reports, FactSet Research Systems, Rosenblatt Securities

Exhibit 6: CRDO 3Q26/4Q26 Preview Table

	3Q26E			4Q26E			3Q25	2Q26
	RBLT	Guidance	Consensus	RBLT	Guidance	Consensus	Actual	Actual
Sales	\$348.4	\$335mn - \$345mn	\$331.4	\$376.3		\$347.9	\$135.0	\$268.0
Product Sales	339.7		332.8	366.9		356.8	129.4	261.3
Product Engineering	0.0		NA	0.0		NA	2.7	0.0
IP License	8.8		6.5	9.5		6.5	3.0	6.7
Total Gross Margin	65.4%	64% - 66%	64.3%	65.5%		64.5%	63.8%	67.7%
Operating Expenses	\$70.0	\$68mn - \$72mn	\$62.4	\$73.5		\$65.1	\$43.8	\$57.3
Operating Margin	45.3%	-	45.5%	46.0%	-	45.8%	31.4%	46.3%
Earnings per share	\$0.82	-	\$0.75	\$0.89	-	\$0.79	\$0.25	\$0.67

Source: Company reports, FactSet and Rosenblatt Securities estimates

Conclusion

We are initiating CRDO with a Neutral rating and \$170 price target despite forecasts for revenues to nearly triple and earnings to more than quadruple in FY26 (April). Our concern is the TAM for 400G and 800G AECs for scale-out is not that large, the company has most of the share, and increased competition is imminent. At 200G per lane for 1.6T and 400G per lane for 3.2T, the world becomes much more Optical and we don't see competitive advantage for Credo in Optical compared to technology leaders Lumentum, Coherent, and Ciena. The recent financial performance for the company has been extraordinary, but we expect deceleration from here at the AEC market adds competitors, and Data Center connections become more Optical at 1.6T and 3.2T.

Exhibit 7: CRDO Comparable Valuation Table

	Ticker	Price	(\$M)	(\$M)	CY2024	CY2025	CY2026	CY2027	CY2024	CY2025	CY2026	CY2027	CY2024	CY2025	CY2026	CY2027	CY2024	CY2025	CY2026	CY2027	52 Low	52 High
Innolight	300308-CN	\$89.72	\$99,690	\$646,127	\$23,862	\$37,347	\$75,004	\$96,997	4.2x	17.3x	8.6x	6.7x	\$0.64	\$1.38	\$2.91	\$3.87	140.2x	65.0x	30.8x	23.2x	\$9.6	\$94.6
Coherent	COHR	\$193.46	\$30,403	\$42,377	\$5,270	\$6,259	\$7,180	\$8,061	5.8x	6.8x	5.9x	5.3x	\$2.83	\$4.27	\$5.55	\$6.90	68.4x	45.3x	34.9x	28.0x	\$45.6	\$210.9
AOI	AAOI	\$39.26	\$2,681	\$2,571	\$249	\$453	\$835	\$1,507	10.7x	5.7x	3.1x	1.7x	(\$0.79)	(\$0.33)	\$0.88	\$2.70	N/A	N/A	44.6x	14.5x	\$9.7	\$42.0
Fabrinet	FN	\$482.56	\$17,289	\$16,455	\$3,157	\$3,900	\$4,729	\$5,519	5.5x	4.2x	3.5x	3.0x	\$9.80	\$11.31	\$14.39	\$16.31	49.2x	42.7x	33.5x	29.6x	\$148.6	\$531.2
Ciena	CEN	\$241.21	\$33,976	\$35,353	\$4,143	\$4,962	\$6,091	\$7,087	8.2x	7.1x	5.8x	5.0x	\$1.80	\$3.15	\$5.53	\$7.13	134.0x	76.6x	43.6x	33.8x	\$49.2	\$261.1
Intel Corporation	INTC	\$48.56	\$242,061	\$245,997	\$53,101	\$52,598	\$54,008	\$56,767	4.6x	4.7x	4.6x	4.3x	(\$0.13)	\$0.33	\$0.61	\$1.05	N/A	147.2x	79.6x	46.2x	\$17.7	\$50.4
Marvel	MRVL	\$79.80	\$67,678	\$71,240	\$5,747	\$7,976	\$9,833	\$12,474	11.8x	8.9x	7.2x	5.7x	\$1.57	\$2.84	\$3.58	\$4.82	50.8x	28.1x	22.3x	16.6x	\$47.1	\$127.5
Astera Labs	ALAB	\$183.75	\$31,036	\$32,087	\$396	\$831	\$1,210	\$1,664	78.3x	38.6x	26.5x	19.3x	\$0.84	\$1.78	\$2.41	\$3.78	218.8x	103.2x	76.2x	48.6x	\$47.1	\$262.9
Lumentum Holdings, Inc.	LITE	\$356.83	\$25,299	\$30,098	\$1,505	\$2,145	\$3,071	\$3,764	16.8x	14.0x	9.8x	8.0x	\$0.94	\$3.96	\$8.42	\$10.29	379.6x	90.1x	42.4x	34.7x	\$45.7	\$402.8
Sumitomo Electric	SMTGY	\$41.03	\$32,575	\$36,499	\$31,117	\$31,121	\$30,873	\$31,503	1.0x	1.2x	1.2x	1.2x	\$1.70	\$2.16	\$2.26	\$2.51	24.1x	19.0x	18.2x	16.3x	\$11.9	\$45.3
Group Avg									14.7x	10.8x	7.6x	6.0x					133.1x	68.6x	42.6x	29.2x		

Source: FactSet and Roseblatt Securities

We put together a table of 10 comparable companies for CRDO including Innolight, Coherent, Ciena, Astera Labs, Marvel and Lumentum. Based on consensus estimates, these stocks trade at an average of 42.6x 2026 EPS, 29.2x 2027 EPS, 7.6x EV-to-2026 sales, and 6.0x EV-to-2027 sales. CRDO trades at 56.3x consensus 2026 EPS, 42.5x 2027 EPS, 23.9x EV-to-2026 sales and 17.2x EV-to-2027 sales.

Credo trades at a premium to the group because it has put up extremely strong financial performance recently since 400G and 800G AECs are in the sweet spot for now and there hasn't been much competition yet. However, we view Credo as a mostly copper-based player in a world that is becoming much more Optical over the next few years. This is the primary reason we have a Neutral rating on CRDO, but we are recommending most of the Optical names in our coverage.

While our CRDO estimates are above consensus, we foresee a significant deceleration trend starting in FY27. Our \$170 price target is based on 40x our above consensus FY27 EPS forecast of \$4.25. Our FY27 revenue growth and EPS growth estimates for the company are in the low-to-mid 40s. Therefore, we believe a 40x multiple on more accurate earnings estimates, compared to consensus, is an appropriate valuation for CRDO.

CRDO INCOME STATEMENT

US\$ (mn)																				
Calendar Month	Jul	Oct	Jan	Apr	Jul	Oct	Jan	Apr	Jul	Oct	Jan	Apr	Jul	Oct	Jan	Apr				
Fiscal Period	<u>1Q24</u>	<u>2Q24</u>	<u>3Q24</u>	<u>4Q24</u>	<u>1Q25</u>	<u>2Q25</u>	<u>3Q25</u>	<u>4Q25</u>	<u>1Q26</u>	<u>2Q26</u>	<u>3Q26E</u>	<u>4Q26E</u>	<u>1Q27E</u>	<u>2Q27E</u>	<u>3Q27E</u>	<u>4Q27E</u>				
Sales (GAAP)	35.1	44.0	53.1	60.8	59.7	72.0	135.0	170.0	223.1	268.0	348.4	376.3	402.7	426.8	452.4	479.6	\$193.0	\$436.8	\$1,215.8	\$1,761.4
Product Sales	30.0	34.2	40.0	40.8	53.8	64.4	129.4	164.5	217.1	261.3	339.7	366.9	392.5	416.1	441.1	467.5	145.0	412.2	1184.9	1717.2
Product Engineering Services	2.3	2.4	11.8	3.3	3.5	4.6	2.7	1.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	19.9	12.1	0.0	0.0
IP License	2.8	7.4	1.3	16.6	2.4	3.0	3.0	4.2	6.0	6.7	8.8	9.5	10.1	10.7	11.4	12.0	28.0	12.5	31.0	44.3
Gross profit	21.0	26.4	33.0	40.2	37.6	45.8	86.2	114.5	150.7	181.4	227.8	246.5	262.9	279.6	295.8	314.5	\$120.6	\$284.1	\$806.4	\$1,152.8
Research and development	22.6	21.7	24.2	26.9	30.4	31.7	36.3	47.6	52.4	57.9	56.4	57.6	59.2	61.5	63.8	65.7	\$95.5	\$146.0	\$224.4	\$250.1
Selling, General, and Administrative	13.3	14.2	20.2	21.3	22.2	23.5	31.9	37.2	44.3	43.6	45.9	46.7	48.7	50.2	51.3	0.0	\$48.2	\$60.2	\$98.9	\$171.0
Impairment Charges	0.0	0.0	0.8	0.0	0.0	0.0	0.9	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	\$2.4	\$0.8	\$0.9	\$0.0
Total operating expenses	<u>27.4</u>	<u>27.1</u>	<u>30.6</u>	<u>32.7</u>	<u>35.4</u>	<u>37.6</u>	<u>43.8</u>	<u>52.0</u>	<u>54.5</u>	<u>57.3</u>	<u>70.0</u>	<u>73.5</u>	<u>70.9</u>	<u>75.1</u>	<u>79.0</u>	<u>82.0</u>	<u>117.8</u>	<u>168.8</u>	<u>255.3</u>	<u>307.0</u>
Operating income	-6.4	-0.7	2.4	7.5	2.2	8.3	42.4	62.5	96.2	124.1	157.8	173.0	192.0	204.4	216.8	232.5	2.7	115.4	551.1	845.7
Depreciation/Amortization	<u>3.0</u>	<u>3.7</u>	<u>3.4</u>	<u>3.7</u>	<u>4.2</u>	<u>5.0</u>	<u>5.1</u>	<u>7.7</u>	<u>5.5</u>	<u>6.6</u>	<u>6.0</u>	<u>6.0</u>	<u>6.0</u>	<u>6.0</u>	<u>6.0</u>	<u>6.0</u>	<u>13.8</u>	<u>21.9</u>	<u>24.0</u>	<u>24.0</u>
Adjusted EBITDA	-3.5	3.0	5.9	11.1	6.4	13.2	47.4	70.2	101.7	130.7	163.8	179.0	198.0	210.4	222.8	238.5	\$16.5	\$137.3	\$575.2	\$869.7
Other non operating income	<u>2.2</u>	<u>2.7</u>	<u>4.3</u>	<u>5.2</u>	<u>5.5</u>	<u>4.5</u>	<u>3.9</u>	<u>3.8</u>	<u>3.9</u>	<u>4.9</u>	<u>4.0</u>	<u>4.0</u>	<u>4.0</u>	<u>4.0</u>	<u>4.0</u>	<u>4.0</u>	<u>\$14.3</u>	<u>\$17.7</u>	<u>\$16.8</u>	<u>\$16.0</u>
Earnings before taxes	-4.3	2.0	6.7	12.6	7.7	12.7	46.3	66.3	100.1	129.0	161.8	177.0	196.0	208.4	220.8	236.5	\$17.0	\$133.1	\$568.0	\$861.7
Income taxes	<u>0.5</u>	<u>0.8</u>	<u>0.4</u>	<u>0.8</u>	<u>0.7</u>	<u>0.5</u>	<u>0.9</u>	<u>1.1</u>	<u>1.9</u>	<u>1.2</u>	<u>2.0</u>	<u>2.5</u>	<u>3.0</u>	<u>3.0</u>	<u>3.5</u>	<u>4.0</u>	<u>\$2.5</u>	<u>\$3.2</u>	<u>\$7.6</u>	<u>\$13.5</u>
Net income	-4.7	1.2	6.3	11.8	7.0	12.3	45.4	65.3	98.3	127.8	159.8	174.5	193.0	205.4	217.3	232.5	\$14.6	\$129.9	\$560.4	\$848.2
Earnings per share	\$ (0.03)	\$ 0.01	\$ 0.04	\$ 0.07	\$ 0.04	\$ 0.07	\$ 0.25	\$ 0.35	\$ 0.52	\$ 0.67	\$ 0.82	\$ 0.89	\$ 0.98	\$ 1.03	\$ 1.09	\$ 1.15	\$0.08	\$0.70	\$2.91	\$4.25
Avg dil shares out (mn)	149.3	164.9	171.4	179.1	181.0	182.3	184.5	186.9	188.9	190.6	194.0	195.5	197.1	198.7	200.3	201.9	179.1	186.9	195.5	201.9
Margins																				
Total gross margin	60%	60%	62%	66%	63%	64%	64%	67%	68%	68%	65%	65%	65%	66%	65%	66%	62.5%	65.0%	66.3%	65.4%
Product gross margin	54%	49%	53%	50%	59%	60%	62%	66%	67%	67%	64%	64%	64%	64%	64%	65%	51.4%	63.0%	65.3%	64.4%
Product Engineering Services gr	87%	93%	88%	91%	87%	88%	91%	96%	96%	96%	0%	0%	0%	0%	0%	0%	88.8%	89.2%	0.0%	0.0%
IP Licence gross margin	95%	95%	91%	99%	96%	98%	100%	100%	100%	100%	100%	100%	99%	100%	100%	100%	97.1%	98.6%	100.0%	99.8%
Research and development	65%	49%	46%	44%	51%	44%	27%	28%	24%	22%	16%	15%	15%	14%	14%	14%	49.5%	33.4%	18.5%	14.2%
Sales and marketing	36%	30%	27%	33%	36%	31%	17%	19%	17%	17%	13%	12%	12%	11%	11%	11%	31.2%	22.6%	14.1%	11.2%
Impairment Charges	0%	0%	0%	1%	0%	0%	0%	1%	0%	0%	0%	0%	0%	0%	0%	0%	0.4%	0.2%	0.0%	0.0%
Total operating expenses	78%	62%	58%	54%	59%	52%	32%	31%	24%	21%	36%	36%	36%	36%	36%	36%	61.1%	38.6%	21.0%	17.4%
Operating Margin	-18%	-2%	5%	12%	4%	11%	31%	37%	43%	46%	45%	46%	48%	48%	48%	48%	1.4%	26.4%	45.3%	48.0%
Adjusted EBITDA	-10%	7%	11%	18%	11%	18%	35%	41%	46%	49%	47%	48%	49%	49%	49%	50%	8.6%	31.4%	47.3%	49.4%
Earnings before taxes	-12%	4%	13%	21%	13%	18%	34%	39%	45%	48%	46%	47%	49%	49%	49%	49%	8.8%	30.5%	46.7%	48.9%
Income taxes	1%	2%	1%	1%	1%	1%	1%	1%	1%	0%	1%	1%	1%	1%	1%	1%	1.3%	0.7%	0.6%	0.8%
Net income	-13%	3%	12%	19%	12%	17%	34%	38%	44%	48%	46%	46%	48%	48%	48%	48%	7.6%	29.7%	46.1%	48.2%

Source: Company reports and Rosenblatt Securities estimates

Company Description

Credo delivers high-speed connectivity solutions for AI, Cloud, and Hyper Scale networks. The company's products, based on proprietary SerDes and DSP technologies, include ICs, Active Electrical Cables (AECs), SerDes Chiplets, and IP licensing, supporting 100G to 1.6T Ethernet and PCIe5/6 applications. Credo's customers include Hyper Scalars, AI/ML, 5G, and Enterprise networking players, with over 20 blue-chip clients such as OEMs, ODMs, and Optical module makers. The company develops both standard and custom solutions, helping shape industry standards through collaboration with technology leaders. The company is headquartered in Silicon Valley and has more than 600 employees globally.

Valuation Summary

Our \$170 price target is based on 40x our FY27 EPS forecast.

Risks

Upside Risks

- **Customer Relationships** - Deep relationships with major customers could yield stable, recurring revenue if retained.
- **Product Innovation** - Investment in new products could generate significant future revenue if successful.
- **AI/ML Market Growth** - Expansion of the AI, cloud, and data infrastructure markets could drive strong demand for Credo's solutions.
- **Global Presence** - Operating internationally offers diversification and access to large growth markets.
- **Intellectual Property (IP)** - Strong IP portfolio and SerDes/DSP expertise can sustain technological leadership and competitive edge.
- **Industry Leadership** – Active role in shaping standards and collaborations with major players (e.g., Microsoft) strengthen market positioning.

Downside Risks

- **Customer Concentration** – Heavy reliance on a few major customers without long-term purchase commitments could cause revenue volatility.
- **Economic Conditions** – Exposure to global recessions, inflation, or stagflation could weaken demand and profitability.
- **Financial Performance** – Existing accumulated deficit and possible future losses may impact investor confidence.
- **Competition** – Increasing industry competition could pressure pricing and margins.
- **Product Risk** – High development costs for products that may not generate revenue.
- **Supply Chain Dependence** – Reliance on limited third-party manufacturers for assembly and testing.
- **Market Development Uncertainty** – AI/ML and generative AI markets may not evolve as expected due to regulatory or adoption issues.
- **Geopolitical Exposure** – Trade restrictions, sanctions, and U.S.-China tensions could disrupt operations.
- **Intellectual Property Risk** – Potential for infringement claims or difficulty enforcing IP protection internationally.

Required Disclosures

I, Mike Genovese, attest that the views expressed in this research report accurately reflect my personal views about the subject matter, security, or issuer. Furthermore, no part of my compensation was, is, or will be directly or indirectly related to the specific recommendation or views expressed in this research report.

The material prepared by me employs appropriate expertise, and I believe that it fairly and accurately represents the subject matter reported upon and is not misleading. I accept no liability for any loss resulting from the use of the material presented in this report, except that this disclaimer of liability does not apply to the extent that such disclaimer may be prohibited by specific statutes, laws or regulations.

This report is not to be relied upon in substitution for the exercise of independent judgment. I may have issued and may in the future issue, other reports that are inconsistent with, and which reach different conclusions than the information presented in this report. Those reports reflect the different assumptions, views, and analytical methods of the analysts who prepared them at that time and I assume no obligation to ensure that any other reports on the same subject matter addressed herein are brought to the attention of any recipient of this report.

Ownership & Material Conflicts of Interest: None.

Compensation: The research analyst who authored this report (the "Analyst") does not receive compensation based on Rosenblatt Securities Inc.'s investment banking revenues or from CRDO and has not done so for the past twelve months. Rosenblatt Securities Inc. does not have any investment banking relationship with CRDO. As such, Rosenblatt Securities Inc. has not received compensation for investment banking activities in the past twelve months and does not expect to receive compensation for investment banking activities in the next 3 months. Rosenblatt Securities Inc. does not have a consulting or other revenue-generating relationship with CRDO in the last twelve months.

Position as Officer/Director: The Analyst does not serve as an officer, director, or advisory board member of CRDO. The same is true for members of the Analyst's household.



Explanation of Equity Research Ratings: Rosenblatt Securities Inc. uses the following ratings system: Buy [We believe this stock will outperform relative to other companies in its industry over the following 12 months.] Sell [We believe this stock will underperform relative to other companies in its industry over the following 12 months.] Neutral [We believe that this stock's performance will be in line with the average return of others in its industry over the following 12 months.]

Distribution of Ratings/IB Services				
Rating	Count	Percent	IB Serv./Past 12 Mos.	
			Count	Percent
BUY	99	83.19	22	22.22
NEUTRAL	19	15.97	0	0
SELL	1	0.84	0	0

Market Making: Rosenblatt Securities Inc. does not make markets in any securities.

Other Disclosures: All the views expressed in the research report accurately reflect the research analyst's personal views about any and all of the subject securities or issuers and no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations, valuations, or views expressed by the research analyst in the research report.

The information contained in this report is not a complete analysis of every material fact with respect to any company, industry or security and is not an offer or solicitation to buy or sell any security. Although opinions and estimates expressed in this report reflect the current judgment of Rosenblatt Securities Inc., the information upon which such opinions and estimates are based is not necessarily updated on a regular basis.

Estimates are not reviewed on a regular basis. In addition, opinions and estimates are subject to change without notice. Each investor

must make its own determination of the appropriateness of an investment in any securities referred to herein based on any legal, tax and accounting considerations applicable to such investor and its own investment strategy.

By virtue of this publication, Rosenblatt Securities Inc. or their employees shall not be responsible for any investment decision. Rosenblatt Securities Inc. from time to time may perform corporate finance services for companies mentioned in this report and may occasionally possess material, nonpublic information regarding such companies.

This information is not used in the preparation of the opinions and estimates contained in this report. Facts and the other information contained in this report have been obtained from public sources considered reliable but are not guaranteed in any way. This report may not be reproduced, distributed, or published without the prior consent of Rosenblatt Securities Inc. Copyright © 2026. All rights reserved by Rosenblatt Securities Inc.

In the United Kingdom, this communication may constitute a financial promotion for the purposes of the Financial Services and Markets Act 2000. Accordingly, it is issued only to, or directed only at, persons who are: (i) investment professionals within the meaning of Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "FPO") or, (ii) high net worth companies and certain other entities falling within Article 49 (2)(a) to (d) of the FPO.

This communication is issued to, or directed only at, professional persons (this includes persons who are eligible counterparties and professional clients as defined by the MiFID) who have professional experience in matters relating to investments. The information and products to which this communication relates are only available to such persons and persons of any other description (in particular retail investors) should not rely on this communication.